



ACADEMIC PUBLICATION

Challenges of Mining Activities in Nigeria and Efficacy of Regulatory Frameworks to Effectively Regulate Them



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Legal Ideas Forum International · Academic Publication

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The mining industry is a multibillion industry in Nigeria, yet it is not free from challenges that exist around funding, infrastructural difficulties, lack of adequate geological data, poor regulatory laws, illegal mining operations, poor enforcement of existing laws, pollution, environmental degradation and health impacts, economic exploitation and poverty of communities, etc.

Challenges of Mining Activities in Nigeria and Efficacy of Regulatory Frameworks to Effectively Regulate Them

ABSTRACT

Minerals are natural products in solid state. The extraction of minerals and other geological deposits that are economically useful from the earth is what is referred to as - mining. The Ministry of Mines and Steel, and the Geological survey of Nigeria, has reported the presence of over 34 minerals that are currently being mined in more than 450 locations, spread throughout the country. Minerals in the country include iron ore, limestone, niobium, lead, zinc, gold, tin, coal, bitumen, etc. The mining industry is a multibillion industry in Nigeria, yet it is not free from challenges that exist around funding, infrastructural difficulties, lack of adequate geological data, poor regulatory laws, illegal mining operations, poor enforcement of existing laws, pollution, environmental degradation and health impacts, economic exploitation and poverty of communities, etc. These challenges have negatively impacted the mining industry and has left it severely underdeveloped, leading to effects like loss of government tax revenue, loss of foreign currency exchange, insecurity, lack of employment, etc amongst others. This paper seeks to highlight the challenges of mining in Nigeria, and the efficiency of the regulatory laws in effectively addressing these challenges.

I.o. INTRODUCTION

A Mineral has been defined any substance whether in solid, liquid or gaseous form occurring in or on the earth, formed by or subjected to geological processes including occurrences or deposits of rocks, coal, coal bed gases, bituminous shales, tar sands, any substances that may be extracted from coal, shale or tar sands, mineral water, and mineral components in tailings and waste piles, but with the exclusion of petroleum and waters without mineral content.¹

1. Section 164, Nigerian Mining and Mining Act, 2007.

The development of Nigeria's mining and minerals sector has been poor compared to the endowments and potentials of that sector². The inability of the country to realize the full potentials of the sector has been attributed to a number of factors including but not limited to – inadequate funding, infrastructural difficulties, lack of adequate geological data, poor regulatory laws, illegal mining operations, poor enforcement of existing laws, pollution, environmental degradation and health impacts, economic exploitation and poverty of communities, etc. These challenges have negatively impacted the mining industry and has left it severely underdeveloped. This paper highlights the challenges that has militated the mining sector and discusses the effectiveness or otherwise of the regulatory laws in addressing the challenges.

2.0. CHALLENGES OF MINING ACTIVITIES IN NIGERIA

Since independence, Nigeria has adopted several methods to boost the development of the mining sector, however these efforts have not had tangible and long lasting effects as a result of the various key challenges that hinder the efforts. Some of these challenges include (but are not limited to):

INADEQUATE FUNDING AND INFRASTRUCTURAL DIFFICULTIES:

The Nigerian mining sector is currently dominated by small-scale and artisanal miners. These small-scale miners, lack sufficient funding to expand their operations. Lack of adequate funds is one of the major problems of mining in Nigeria. Many of these small-scale miners rely on crude methods and equipments such as hoes and spades (as witnessed in the Cassiterite mines in Plateau State) to carry out their operations and these methods would not yield much in terms of reward for them compared to their inputs.

Lack of basic amenities also prevent adequate mining operations. Good roads for instance, are required for the safe and easy transportation of extracted minerals and also for the ease of movement of the heavy duty company vehicles and equipment. Water is required to run the mining process efficiently. Electricity is also necessary for the automated processes and clerical works. The condition of electricity in Nigeria is epileptic and is one of those factors which is hindering the industrial sector generally, and the mining sector particularly.

For mining companies and agencies to be able to effectively carry out their operations, certain basic amenities must be put in place by the government. Good road networks, water supply, and constant power supply, are important to mining activities, hence the government must ensure these facilities are put in place for smooth running of mining operations. Well-equipped laboratories are also necessary for more research to be carried out on these minerals. This is necessary especially in the exploration for new locations that contain minerals as well as the processing of these minerals after extraction to increase their grade

2. Badaiki, A.D Essays in Honour of Justice C.A.R. Momoh, Chief Judge of Edo State, Nobility Press Limited 2003.

LACK OF ADEQUATE GEOLOGICAL DATA:

Most of the available geological/ geoscience data in Nigeria are outdated. This affects the credibility of the resource information. The information currently available on minerals found in Nigeria as well as localities where they can be found is insufficient. There is still a heavy reliance on data obtained decades ago.

The High Resolution Airborne Geophysical Survey conducted between 2003 and 2009, which represented one the significant efforts in over three decades to update Nigeria's geological dataset, was nonetheless 'insufficient for initiating and building investor confidence in the mining industry'.³ The survey also observed that the work of the Nigerian Geological Survey Agency (NGSA) in collecting and evaluating sizable amounts of information on the location and quantity of available minerals does not easily get to the investing public because much of the information collated is not readily available through channels like web portals or publication in widely read journals which most interested parties engage.

The lack of information or limited accessibility of information remains a constrain to investment, as low-knowledge about the potential value of a resource will prevent investors from investing. Inadequate geological information is further compounded by the failure of operators to submit reports on their activities as required by law thereby limiting the data availability on the exploration, production and processing of solid minerals in Nigeria. The department in the mining sector responsible for the research and collation of geological data should be worked on. A good and promising geological data can go a long way to improve mining operations in Nigeria.

POOR REGULATORY FRAMEWORK:

Over the years, lack of proper legislation and constant shifting in position of the government on matters affecting the mining industry has affected the mining sector. The mining industry in Nigeria is not well regulated. This has made it really easy for illegal miners to operate and thrive. In order not to pay government taxes, many small-scale and artisanal miners' resort to illegal mining operations. Also, the existing fiscal framework for investors in the mining sector is not friendly enough and does not encourage investors.

The government should decide and make known its position on mining and ensure proper legislation to back this up is enacted and enforced.. One such legislation passed is the Mineral Act which was signed into law in 2007. It is hoped that this law and similar laws would ensure transparency in the process of granting mining licenses, ensure the security of tenure, encourage competitive fiscal terms and lead to significant growth in the mining industry.

ILLEGAL MINING ACTIVITIES:

A significant percentage of mining operations in Nigeria are carried out illegally. Collaboration between politically connected Nigerians and Chinese corporations in illegal gold mining for instance, drives rural banditry and violent local conflicts⁴ in some parts of Nigeria. This includes the North West, North Central and to some extent South West regions. It is estimated that 80%⁵ of mining in the North West region is carried out illegally and on an artisanal basis by local populations. The mining of large untapped mineral deposits in the area, especially gold which has strategic importance and economic value, is at the root of community violence. The government's ban of artisanal gold mining in Zamfara State and across the region, and the deployment of soldiers to enforce the ban since April 2019, have yielded few, if any results. Illegal mining and its associated conflicts continue regardless.

The rise in illegal mining highlights fundamental social, institutional and structural problems in Nigeria's governance system. Firstly, it reveals the prevailing socio-economic problems in the affected regions, especially the inadequate laws and enforcement. Again, the involvement of foreign corporations in illegal mining shows the failure of regulatory oversight and gross inadequacies in the enforcement of regulatory compliance by respective governmental agencies. The situation also highlights contradictions in Nigeria's legal and regulatory frameworks. The law places ownership of all mineral resources in the federal government rather than the state government.⁶

POLLUTION AND ENVIRONMENTAL DEGRADATION, AND HEALTH CHALLENGES:

Pollution is one of the results of mining that accompanies every mining stage from planning to the closure. The associated dust generated by mining for example, makes a major impact on the environment and worker's health. Dust results from almost all mining operations from drilling to blasting and crushing. Fine particles of dust are released and spread by wind, which affects not only humans but also animals and vegetation.

Strip mining, and soil excavation cause soil erosion and destruction of vegetation, thereby destroying the natural habitats of some animals. Some very important plant species are also destroyed and the soil is exposed to erosion.

3. Ministry of Mines and Steel Development: Road Map for the Growth and Development of the Nigerian Mining Industry, 2016.

4. <https://carnegieendowment.org/2018/09/05/intersection-of-china-s-commercial-interests-and-nigeria-s-conflict-landscape-pub-77303>. Accessed on 5/10/2022.

5. <https://www.reuters.com/article/us-nigeria-security/nigeria-suspends-mining-in-zamfara-state-after-banditry-surges-idUSKCN1RJ0IS>. Accessed on 5/10/2022.

6. Section 1(1) of the Nigerian Minerals and Mining Act, 2007, gives the federal government ownership and absolute control over all mineral resources in the country, including the mining process.

Exposure to high amplitude whole-body vibration has been identified as a significant risk factor in the development of musculoskeletal disorders and associated health problems including loss of visual acuity, loss of postural stability and manual control, low-back pain, early spinal degeneration and disc herniation. Whole body vibration is commonly experienced whilst operating mobile equipment, such as load–haul–dump units, trucks, scrapers and diggers. This can cause or exacerbate pre-existing spinal disorders.

ECONOMIC EXPLOITATION AND POVERTY OF COMMUNITIES:

Exploration and exploitation leaves devastating effects on the host community from permanent impacts on the environment, the poisoning of water resources, impacts on health, the billions of tons of earth and vegetation poisoned by cyanide, arsenic, lead and other lethal substances, to the the natural and social wasteland left behind.

3.0. LEGAL/REGULATORY FRAMEWORK FOR MINING NIGERIA

The Federal Government is vested with the ownership, control and management of Minerals in Nigeria. This right to ownership and control of Minerals under the Nigerian law is constitutional. The Constitution of the Federal Republic of Nigeria 1999 (as amended) and item 39 Schedule II of the Exclusive Legislative List vests the control and management of the natural resources and hydrocarbon operations on the federal government for the common good and benefit of the citizens⁷. Mineral rights in Nigeria are therefore solely vested in the Federal Government whose exclusive reserve is to transfer said rights to third-parties subject to the laws of the National Assembly.

The Nigerian Mineral and Mining Act, 2007⁸, was enacted by the National Assembly pursuant to its constitutional mandate. The Act is the principal law governing the mining sector. It is the primary sectoral law which also vests ownership and control of mineral resources in the Federal Government to hold and manage same on behalf of the citizenry, with rights to transfer said rights to qualified third parties.⁹

7. section 44 (3).

8. LFN, 2004.

9. Section 1 Mineral and Mining Act, 2007.

3.1. BRIEF OVERVIEW OF THE PROVISIONS OF THE NIGERIAN MINERAL AND MINING ACT, 2007:

The Act prohibits unauthorized exploration or exploitation of minerals,¹⁰ and makes further provisions for the roles of the Minister (of Mines and Steel Development), establishment of the Mining Cadastre Office (MCO), Mines Inspectorate Department (MID), Mines Environmental Compliance Department (MECD), and the State Mineral Resources and Environmental Management Committee (MIREMCO). To incentivize the sector, the Act specifically makes provisions for certain investor benefits including exemptions from custom duties, a 5-year tax relief period, unrestricted access to, retention and use of earned foreign exchange and free transferability of foreign exchange, tax deductible reserve for environmental protection, mine rehabilitation and reclamation/mine closure, amongst others.¹¹

3.2. REGULATORY PROVISIONS

The legal/regulatory framework aimed at managing the mining sector under the Act includes the following:

USE OF LAND FOR MINING A PRIORITY:

The use of land for mining operations has priority over other uses of Land in Nigeria. The Act provides that priority shall be given to land, and be considered for the purposes of access, use and occupation for mining operations as constituting an overriding public interest within the meaning of the Land Use Act.¹²

MINING LEASE & LICENSING:

Every entity, either domestic or foreign, that chooses to invest in the Nigeria mining sector must do so by obtaining a requisite mining lease in Nigeria, or mining license in Nigeria.¹³ The type of mining license or lease or permit to be obtained depends on the types of activity a company intends to carry out. The federal Ministry of Mines and Steel Development (MMSD) is the government agency responsible for all the activities in the mining sector and issues all licenses.

Mining leases or licenses or permit in Nigeria, which are commonly applicable in the Nigerian mining sector that are as follows:

- Exploration License¹⁴
- Small Scale Mining Lease¹⁵
- Mining Lease¹⁶

10. Section 2, Ibid.

11. Part III NMM Act, 2007.

12. Section 22, Ibid.

13. Sections 49 – 50, Ibid.

14. Section 48, Ibid.

15. Section 49, Ibid.

Exploration License: Exclusive License for the exploration of all minerals for the duration of 3 years, renewable for further two periods of 2 years each. Granted over land area not exceeding 200 square kilometers and not subject to an existing exploration license, mining lease, small scale mining lease or quarry lease. Exploration license is granted to any individual company that intends to prospect for mineral resources in Nigeria. This type of license allows the licensee to search for the required mineral resources deposited in the areas covered by the license.

Small Scale Mining Lease: Exclusive Lease to carry out small-scale mining which covers an area greater than five acres but not exceeding 3 square kilometers. The Small Scale Mining Lease, as the name appears, is a smaller version of mining license. The procedure for obtainment of the SSML is a little bit similar to that of Mining Lease, with some distinctions. When SSML is issued, the duration is for 5 years. However, an SSML can be converted to proper Mining License if the scale of production or usage of it exceeds the criteria stipulated for SSML.

Mining Lease: Granted for a period of twenty-five (25) years renewable every twenty-four (24) years, it is an exclusive permit granted in respect of an area not exceeding fifty (50) square kilometers and is not within an Exploration License Area or a Small-Scale Mining Area save granted to the holder of the Exploration License or Small-Scale Mining Lease covering the given area. A mining lease in Nigeria is granted to any company that intends to start mining of mineral resources in commercial quantity in Nigeria. This type of license is preceded by an exploration license. A company seeking to obtain a mining lease must have found or located mineral resources satisfactory quantities making application for the lease.

PERSONS PROHIBITED FROM OBTAINING LICENSES & LEASES:

The Act provides that the Mining Cadastre Office shall not grant a mineral title (license, permit or leases) under to an applicant if it is shown that within a period of five years before the date of the application a shareholder holding a controlling share of the applicant has been convicted of an offense under the Act.¹⁷

Also, the Act provides that a Mining Lease shall not be granted by the Minister to any company unless the company has employed a person who possesses adequate professional qualification and experience in mining, and the Minister is satisfied that the company shall, during the currency of the lease, have such qualified person in its employment.¹⁸

¹⁶. Section 50, Ibid.

¹⁷. Section 53, Ibid.

REGULATION FOR RADIOACTIVE MATERIALS;

The Act makes provisions for action in the event of discovery of radioactive material in the course of mining. It provides that - The holder of a mineral title shall, if he discovers during the course of mining: any radioactive mineral or any mineral that may reasonably be expected to be radio-active, immediately notify the Mines Inspectorate Department of the discovery in writing.¹⁹ The Mines Inspectorate Department may, in consultation with other relevant authorities and with the approval of the Minister, authorize the removal of the radioactive minerals from the land where they have been obtained to any other place approved by the Minister for safe custody. The provisions of the Nuclear Safety and Radiation Protection Act also applies to any radio-active mineral discovered pursuant to mineral exploitation under the Act.

REPORT OF ACCIDENTS AND INQUIRY INTO CAUSE OF ACCIDENT:

Mining related accidents involving loss of life or serious injury to any person must be reported by the holder of a mining lease or license as soon as possible, with full particulars of the accident to the nearest Police Station, or to the office of the Mines Inspectorate Department in the State in which the accident occurred. The place where the accident occurred shall be left undisturbed, and no person shall interfere with the surface working or any part in which or on which the accident has occurred until the place or anything at the place, has been visited or examined by an Inspector or quarry officer.²⁰

The Minister shall then set up a panel consisting of not less than four members to inquire into the cause of the accident. The panel of inquiry shall determine the cause of the accident and whether the holder of the lease/license or its agent is guilty of negligence or took all reasonable and proper precautions to prevent the accident and how future accidents might be prevented.

The panel has the power to to authorize any person, where necessary, to have access to the mine or any surface working and remove anything from the place where the accident occurred and take such other measures as may be necessary.²¹

Where in the opinion of a panel conducting an inquiry, the accident was not due to any of the causes provided in the Act, the panel may recommend that the report be referred to a Judge of the Federal High Court who shall hold an inquiry into the cause of the accident. The Judge shall within fourteen days of the determination of the inquiry, send a copy of his findings to the Minister and, if so requested, a copy of the record of the proceedings.²²

18. Section 73, Ibid.

19. Section 44, Ibid.

20. Section 84, Ibid.

21. Sections 85 - 87, Ibid.

22. Section 88, Ibid.

ILLEGAL MINING AND PURCHASE AND POSSESSION OF MINERALS:

The law strictly prohibits the purchase or possession of Minerals by persons other than an officer of the Ministry authorized in that behalf by the Minister and acting in the execution of his duty, or persons who hold licenses or permits to possess or purchase such minerals.²³

Section 131 of the Act, makes it illegal and an offense under the Act, for anyone to conduct exploration or mine minerals or carry out quarrying operations otherwise than in accordance with the provisions of the Act.

PROHIBITION OF EXPLORATION/EXPLOITATION IN CERTAIN AREAS:

To protect history, culture, and religious sanctity, the Acts provides that no person shall, in the course of exploration or mining, carry out operations, in or under any area held to be sacred or permit injury or destruction of any tree or other thing which is the object of veneration. It further provides that if any question arises as to whether an area is held to be sacred, or a tree or thing is the object of veneration, the question shall be decided by the Mining Cadastre Office on the recommendation of the Mineral Resources Committee of the State concerned. Any licensee or lessee who causes injury or damage to any area, tree or thing mentioned shall pay fair and adequate compensation to the persons or communities affected by injury or damage.²⁴

COMMUNITY DEVELOPMENT AGREEMENT:

The Act provides that prior to the commencement of any development activity within the lease area, lessors and licensees shall conclude with the host community where the operations are to be conducted, an agreement referred to as a Community Development Agreement or other such agreement that will ensure the transfer of social and economic benefits to the community.

The Community Development Agreement shall address: educational scholarship, apprenticeship, technical training and employment opportunities for indigenes of the communities; financial or other forms of contributory support for infrastructural development and maintenance such as education, health or other community services, roads, water and power; assistance with the creation, development and support to small scale and micro enterprises; agricultural product marketing; and methods and procedures of environment and socio-economic management and local governance enhancement. The Community Development Agreement is subject to review every 5 years, and until it is reviewed, remains binding on the parties.²⁵

²³. Sections 93 & 94, Ibid.

²⁴. Section 98, Ibid.

²⁵. Section 116, Ibid.

ENVIRONMENTAL IMPACT ASSESSMENT:

Every holder of an Exploration license shall submit to the Mines Environmental Compliance Department, an environmental impact assessment statement approved by the Federal Ministry of the Environment in respect of the exploration or mining operations to be conducted within the Mineral Title Area; and an Environmental Protection and Rehabilitation Program containing such details as may be provided for in the environmental regulations issued pursuant to the Act.²⁶

4.0. CONCLUSION:

Huge potential lies within the mining sector. The extant laws would be effective in addressing the challenges of mining in Nigeria, but in order to be effectively regulate the mining sector, these laws must be enforced.

The enforcement of the legislations already in place, amendment of inadequate laws, and establishment of good infrastructure by the government, will attract more investors in the mining sector.. Also, a good collaboration must exist between the government, the host communities of our mines as well as both major and minor players within the industry for the smooth running of the industry.

²⁶. Section 119, Ibid.

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Olivia Uzoma Ezekwe is a Lawyer, Writer and Communication Specialist with expertise in gender, governance, human rights, and development communication. She combines her strong legal background with strategic communication skills to produce rights-based analysis, public-facing content, and advocacy-driven storytelling.

Her work focuses on legal research, policy interpretation, and social development communication, using writing, digital media, and narrative strategy to amplify marginalized voices and strengthen public understanding of justice, equity, and accountability. She creates research-informed content that supports dialogue on women's rights, community protection, and inclusive governance.

With experience across law, development, and communication, she brings a multidisciplinary approach to shaping narratives, supporting evidence-based advocacy, and advancing peoples centred social change.